multiple basis than the Glamour Value portfolios. On average over the full period the Glamour Value portfolios held stocks with an enterprise multiple of 8.2, while the Deep Value portfolios held stocks with an average enterprise multiple less than half of that multiple at 3.91. This chart may also explain the underperformance of the Deep Value portfolios relative to the Glamour Value portfolios in the 1970s. Both portfolios were close to valuation lows—only the early 1950s were lower—and the difference between the average enterprise multiples of the Deep Value portfolios and the Glamour Value portfolios was at its tightest. Contrast the 1970s to the 1990s. Through the 1990s, the spread between the enterprise multiples for the Deep Value and the Glamour Value portfolios was at its widest, and the Deep Value Portfolios enjoyed the largest outperformance.

Finally, we can examine the portfolios on the basis of Novy-Marx's gross-profits-to-total-assets ratio. Figure 10.7 shows the average ratios of gross profits to total assets for each of the Glamour Value and the Deep Value portfolios in each year of the study.

We can see from Figure 10.7 that the Glamour Value portfolios tended to contain slightly better stocks on the basis of Novy-Marx's measure. In 49 of the 63 years the Glamour Value portfolios contained stocks with a better ratio of gross profits to total assets. Over the full period, the Glamour Value portfolios owned stocks that generated an average of 43 percent in gross profits for each dollar invested in total assets, while the Deep Value portfolios contained stocks that generated gross profits on total assets of 39

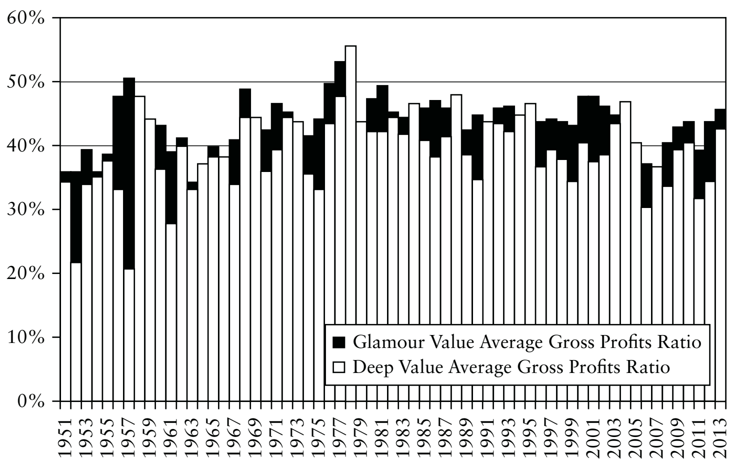

FIGURE 10.7 Average Gross Profits to Total Assets Ratio for Deep Value and Glamour Value Stocks (1951 to 2013)